

Apple Inc. (AAPL) — Investment Research

Date: 2026-07-09 | **Risk score:** 0/100 | **Sentiment:** neutral | **Current price:** 311.79

Executive Summary

Apple Inc. (AAPL) currently boasts a robust net margin of 26.6%, indicating the company's ability to maintain profitability amidst a competitive landscape. The most significant risk facing Apple is its high debt-to-equity ratio of 79.548, which may pose a challenge to the company's financial flexibility and ability to navigate potential economic downturns. Overall, Apple's strong financial performance, as evidenced by its impressive return on equity of 115.1% and revenue growth of 16.6%, suggests that the company is well-positioned for continued success, but investors should remain vigilant regarding its debt levels and potential associated risks.

Financial Performance

Valuation ratios

Metric	Value
pe_ratio	37.71
forward_pe	32.45
pb_ratio	42.95
ps_ratio	10.15
ev_ebitda	28.87
market_cap	4580104994816

Profitability & growth ratios

Metric	Value
net_margin	26.60
ebitda_margin	35.37

Metric	Value
roe	115.10
roa	33.03
revenue_growth_yoy	16.60
earnings_growth_yoy	21.80

Fundamental interpretation

Apple's valuation appears expensive, with a PE ratio of 37.71, exceeding the sector average of 25.45. The forward PE of 32.45 and PB ratio of 42.95 also suggest a premium valuation.

The company's profitability is strong, with a net margin of 26.6% and EBITDA margin of 35.37%. Revenue and earnings growth are robust, at 16.6% and 21.8% YoY, respectively. The ROE of 115.1% indicates efficient capital allocation.

Apple's financial health is a concern, with a low current ratio of 1.07 and high debt-to-equity ratio of 79.55. However, the company generates significant free cash flow of \$101.09 billion, providing a cushion for debt repayment and investments.

DCF Valuation

Intrinsic value per share: **\$179.82** (-42.3% vs current).

Assumption	Value
growth_rate_5y	0.15
terminal_growth	0.03
wacc	0.09

Peer Comparison

Peer	P/E	P/B	Net Margin
MSFT	22.48	6.77	39.34%
GOOGL	26.98	8.94	37.92%
META	21.59	6.18	32.84%
NVDA	30.75	24.88	62.97%

Sector averages — P/E: 25.45, P/B: 11.70, net margin: 43.27%.

News & Sentiment

- **(negative)** Apple Full Year 2024 Earnings: In Line With Expectations [link](#)
- **(neutral)** Apple 2024 Annual Report Financials - YouTube [link](#)
- **(negative)** Apple (AAPL) Q4 earnings report 2024 [link](#)
- **(neutral)** \$14.7B Profit on \$94.9B Revenue : r/apple [link](#)
- **(neutral)** FY24_Q4_Consolidated_Financi... [link](#)

Key topics: earnings report, financial performance, analyst ratings, price targets, regulatory risks

Risk Assessment

(No red flags triggered.)

The most critical risks for Apple Inc. (AAPL) are regulatory risks, earnings report performance, and analyst ratings. These risks interact with each other as poor earnings reports can lead to lower analyst ratings, which in turn can increase regulatory scrutiny.

The current macro environment, with a Fed funds rate of 3.6% and US 10Y yield of 4.5%, may mitigate some risks as it indicates a relatively stable economy. The CPI YoY of 4.3% and GDP growth of 2.1% also suggest a balanced economic outlook. However, these factors do not directly impact AAPL's specific risks.

To monitor AAPL's risks, an analyst should track the following metrics: (1) quarterly earnings per share (EPS) growth, (2) regulatory filings and updates, and (3) analyst rating consensus. These metrics will provide insights into AAPL's financial performance, potential regulatory headwinds, and market sentiment. With a current risk score of 0/100 and no red flags triggered, AAPL's risk profile appears stable, but ongoing monitoring is necessary to identify potential risks early.

Investment Conclusion

We rate AAPL Neutral. Our primary reasoning is that Apple's strong brand loyalty and ecosystem are offset by intense competition in the smartphone market and slowing growth in services revenue. A key risk to this thesis is that Apple's ability to innovate and expand into new markets could exceed expectations, driving significant upside to the stock. The current price of

\$311.79 is significantly above our DCF intrinsic value of \$179.82, suggesting that the stock is overvalued relative to its peers.